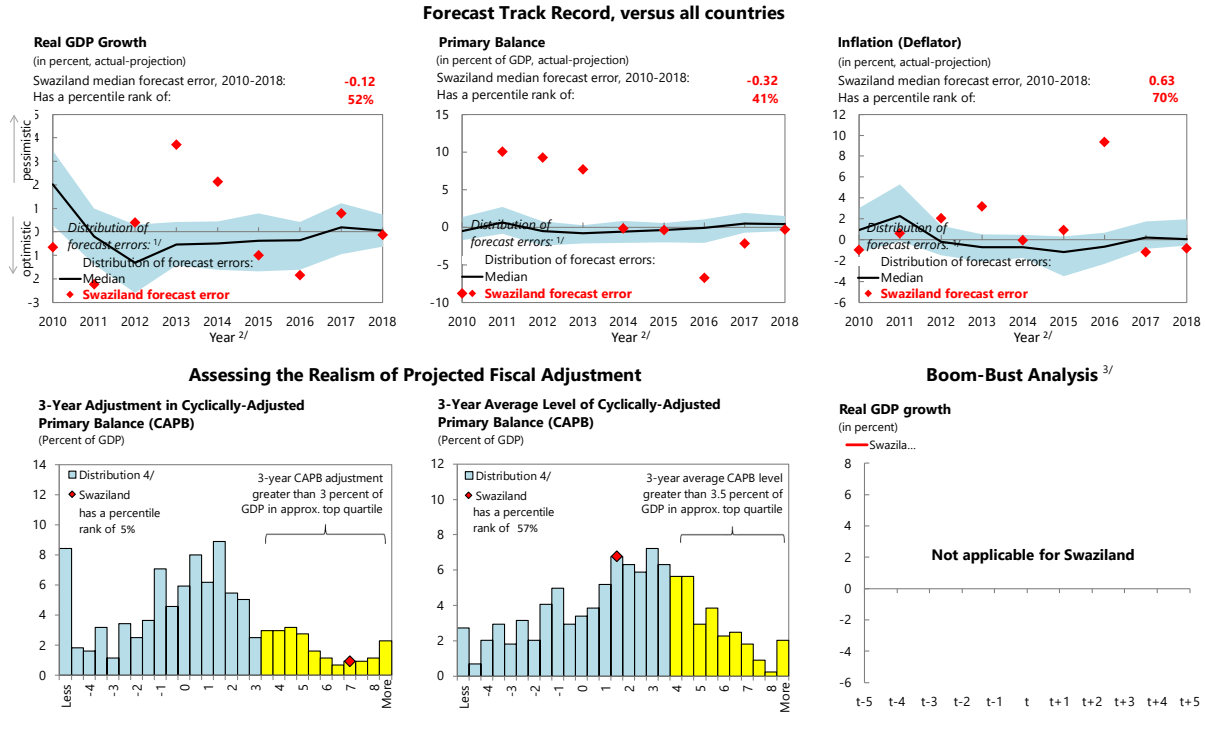
## Figure A2. Eswatini: Public DSA—Realism of Baseline Assumptions




Source : IMF Staff.

1/ Plotted distribution includes all countries, percentile rank refers to all countries.

2/ Projections made in the spring WEO vintage of the preceding year.

3/ Not applicable for Swaziland, as it meets neither the positive output gap criterion nor the private credit growth criterion.

4/ Data cover annual obervations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP. Percent of sample on vertical axis.



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## Figure A3. Eswatini: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(In percent of GDP unless otherwise indicated)

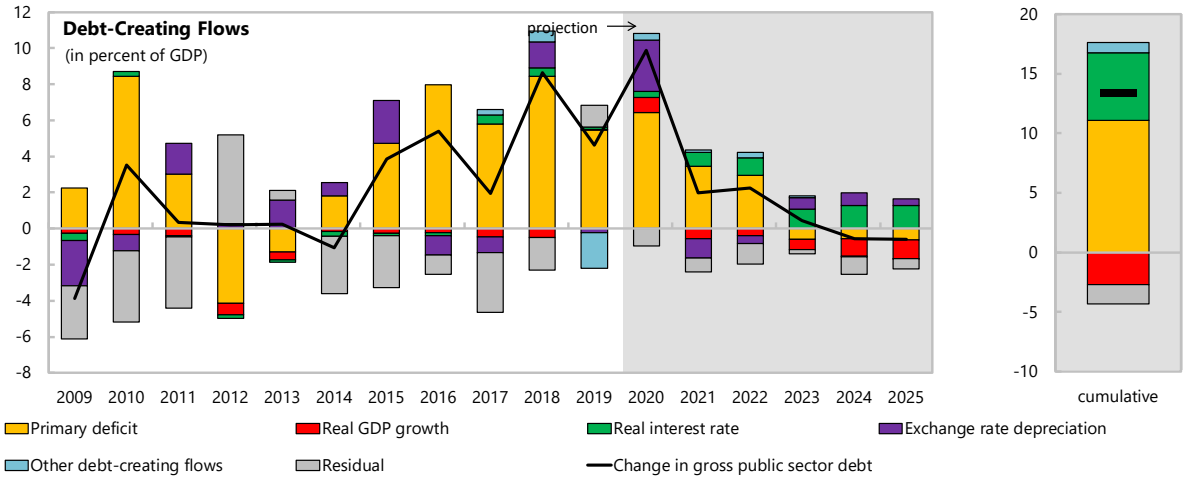
### Debt, Economic and Market Indicators [1/]

| | Actual | | | Projections | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | 2009-2017 [2/] | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
| Nominal gross public debt | 16.2 | 33.4 | 38.0 | 47.9 | 49.9 | 52.1 | 52.6 | 52.0 | 51.4 |
| Public gross financing needs | 10.8 | 12.6 | 23.4 | 27.7 | 22.1 | 20.2 | 18.1 | 19.4 | 18.5 |
| Real GDP growth (in percent) | 2.6 | 2.0 | -0.3 | -2.3 | 1.3 | 0.8 | 1.2 | 2.0 | 2.1 |
| Inflation (GDP deflator, in percent) | 6.1 | 3.4 | 4.0 | 5.1 | 4.8 | 4.7 | 4.7 | 4.8 | 4.9 |
| Nominal GDP growth (in percent) | 9.0 | 5.4 | 3.7 | 2.8 | 6.1 | 5.6 | 6.0 | 6.9 | 6.8 |
| Effective interest rate (in percent) [4/] | 5.6 | 6.1 | 6.8 | 5.9 | 6.5 | 6.8 | 7.0 | 7.6 | 7.7 |

| As of May 19, 2020 | | |
|---|---|---|
| Sovereign Spreads | | |
| EMBIG (bp) 3/ | | n.a. |
| 5Y CDS (bp) | | n.a. |
| Ratings | Foreign | Local |
| Moody's | B2 | B2 |
| S&Ps | n.a. | n.a. |
| Fitch | n.a. | n.a. |

### Contribution to Changes in Public Debt

| | Actual | | | Projections | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2009-2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | cumulative | debt-stabilizing primary balance [9/] |
| Change in gross public sector debt | 1.2 | 8.6 | 4.6 | 9.9 | 2.0 | 2.2 | 0.4 | -0.6 | -0.6 | 13.3 | |
| Identified debt-creating flows | 2.9 | 10.5 | 3.4 | 8.0 | 3.8 | 3.8 | 0.0 | -0.3 | -0.4 | 14.9 | |
| Primary deficit | 3.2 | 8.4 | 5.5 | 6.4 | 3.5 | 3.0 | -0.6 | -0.6 | -0.6 | 11.1 | 0.6 |
| Primary (noninterest) revenue and grants | 26.4 | 24.5 | 26.5 | 27.2 | 26.4 | 24.8 | 26.0 | 26.0 | 26.0 | 156.5 | |
| Primary (noninterest) expenditure | 29.5 | 32.9 | 32.0 | 33.7 | 29.8 | 27.8 | 25.5 | 25.5 | 25.4 | 167.6 | |
| Automatic debt dynamics [5/] | -0.3 | 1.4 | -0.1 | 1.2 | 0.2 | 0.6 | 0.5 | 0.3 | 0.3 | 3.0 | |
| Interest rate/growth differential [6/] | -0.4 | 0.0 | 0.2 | 1.2 | 0.2 | 0.6 | 0.5 | 0.3 | 0.3 | 3.0 | |
| Of which: real interest rate | -0.1 | 0.5 | 0.2 | 0.3 | 0.7 | 1.0 | 1.1 | 1.3 | 1.3 | 5.7 | |
| Of which: real GDP growth | -0.3 | -0.5 | 0.0 | 0.8 | -0.6 | -0.4 | -0.6 | -1.0 | -1.0 | -2.7 | |
| Exchange rate depreciation [7/] | 0.1 | 1.4 | -0.2 | 2.8 | -1.1 | -0.4 | 0.6 | 0.7 | 0.4 | 3.0 | |
| Other identified debt-creating flows | 0.0 | 0.6 | -1.9 | 0.4 | 0.2 | 0.3 | 0.1 | 0.0 | 0.0 | 0.9 | |
| Change in Domestic Arrears (negative) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Contingent liabilities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Policy lending | 0.0 | 0.6 | -1.9 | 0.4 | 0.2 | 0.3 | 0.1 | 0.0 | 0.0 | 0.9 | |
| Residual, including asset changes [8/] | -1.8 | -1.8 | 1.2 | -1.0 | -0.8 | -1.1 | -0.2 | -1.0 | -0.6 | -4.6 | |




Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any).

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

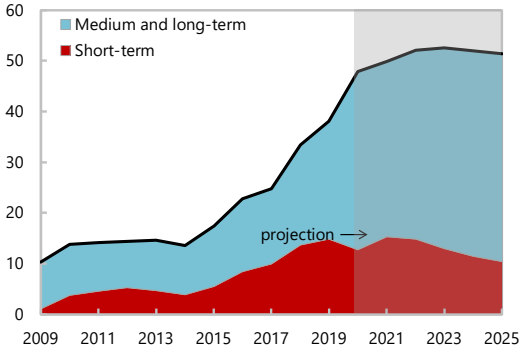


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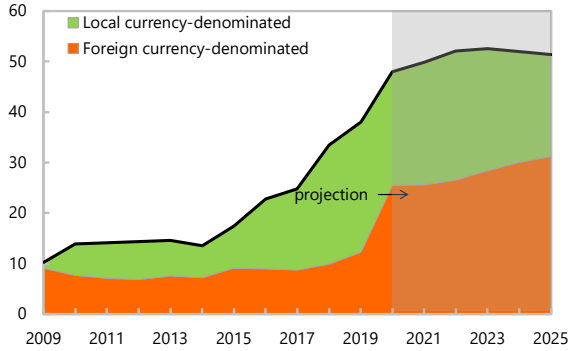
## Figure A4. Eswatini: Public DSA—Composition of Public Debt and Alternative Scenarios

### Composition of Public Debt

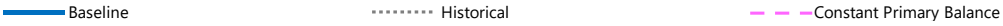
**By Maturity**
(in percent of GDP)



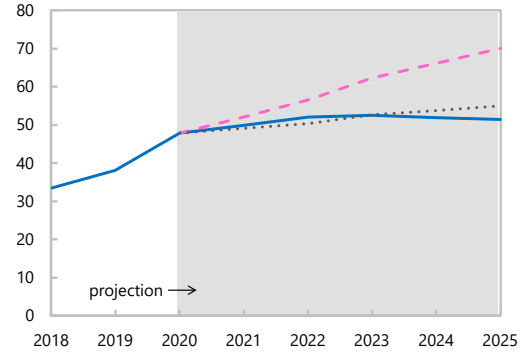

**By Currency**
(in percent of GDP)



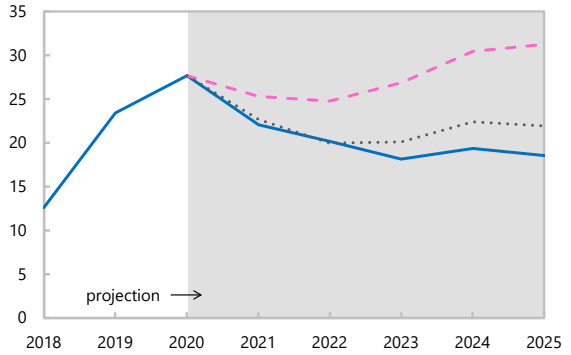

### Alternative Scenarios




**Gross Nominal Public Debt**
(in percent of GDP)




**Public Gross Financing Needs**
(in percent of GDP)




### Underlying Assumptions
(in percent)

| **Baseline Scenario** | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|
| Real GDP growth | -2.3 | 1.3 | 0.8 | 1.2 | 2.0 | 2.1 |
| Inflation | 5.1 | 4.8 | 4.7 | 4.7 | 4.8 | 4.9 |
| Primary Balance | -6.4 | -3.5 | -3.0 | 0.6 | 0.6 | 0.6 |
| Effective interest rate | 5.9 | 6.5 | 6.8 | 7.0 | 7.6 | 7.7 |
| **Constant Primary Balance Scenario** | | | | | | |
| Real GDP growth | -2.3 | 1.3 | 0.8 | 1.2 | 2.0 | 2.1 |
| Inflation | 5.1 | 4.8 | 4.7 | 4.7 | 4.8 | 4.9 |
| Primary Balance | -6.4 | -6.4 | -6.4 | -6.4 | -6.4 | -6.4 |
| Effective interest rate | 5.9 | 6.5 | 6.7 | 6.9 | 7.3 | 7.1 |

| **Historical Scenario** | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|
| Real GDP growth | -2.3 | 2.3 | 2.3 | 2.3 | 2.3 | 2.3 |
| Inflation | 5.1 | 4.8 | 4.7 | 4.7 | 4.8 | 4.9 |
| Primary Balance | -6.4 | -4.0 | -4.0 | -4.0 | -4.0 | -4.0 |
| Effective interest rate | 5.9 | 6.5 | 6.0 | 6.2 | 6.8 | 6.8 |

Source: IMF staff.



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